

Characteristics of the Consumer Market

1) Large Number

in the consumer market the number of consumers is very large

Example: For daily necessities of life in India the number of consumers can be considered to be 120 to 140 crores.

World's Biggest Consumer Market

2) Purchases on Small Scale:

Each consumer of this market purchases only for his personal needs or for his family needs. resulting into lower purchase volume.

Hence, in this type of market for each type of product, it is not possible to meet each consumer personally

3) Direct Demand:

The consumer is purchasing the product for his own consumption ; hence the demand is a direct demand

He is not purchasing for producing the other product or for reselling to others.

4) Scattered Buyers:

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➤ The consumers purchasing goods or services are scattered all around the country. As a result, the transportation expenditure of the goods to be dispatched to the place of consumption is very high.

5) Elasticity of Demand:

➤ The demand of most of the consumer products when the consumption product increases, its demand decreases without fail. is elastic about its price. i.e. if the price of the

But the same rule does not apply to the basic necessities of life. Still however, if cheaper option is available, the consumer may diver towards that option.

6) Many Forces Affect Buying Decision:

➤ They are like economic factors, psychological factors, cultural factors etc.

7) Immature Buying Decision:

➤ Sometimes, if the consumer is to purchase a daily utility or technical product, his decision is not